

# First VWAP Pullback

## Why the First VWAP Pullback works:

- An in-play stock can attract aggressive buying that can be seen as an opening drive at the open
- When we see this kind of aggressive buying, we will look for a quick pullback to VWAP
- Oftentimes, institutions will be ready to buy so we will look to join this buying

## Entry Rules (inverted rules for the short side):

- Enter near VWAP when you see buyers gain back control on the tape

## Stop Loss Rules:

- The stop should be placed just below VWAP

## Exit Rules:

- This is a momentum trade and we will target a measured move of the first leg

## Factors that increase the probability of this trade working:

- We want to see a strong opening drive at the open
- Price should hold above the premarket high after the pullback
- The tape is key for this trade so being able to read the tape and recognize “the moment” is important

## Factors that decrease the probability of this trade working:

- We do not want to see the stock pull in below the premarket high as this may be indicative of a failed breakout
- The opening auction should not be choppy or slow
- The pullback should not be below VWAP

## The ideal times of day to take this trade:

- Open (9:35 AM - 9:45 AM)

When do we avoid this trade entirely?:

- We will avoid this trade entirely if the initial buying is too extended and becomes parabolic

